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Entering Overseas Markets

Exam code: 0450, 0986 & 0264, 0774

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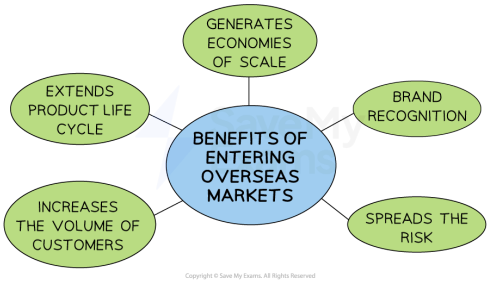
Why businesses enter new markets overseas

- Entering new international markets has proved **attractive to many businesses**
  - The **internet** makes it easier than ever to enter international markets
  - **Financial systems** are much more joined up, making it much easier for money to flow between countries
  - This is a natural part of growth once a successful business has saturated their market share for a particular product



Entering and operating successfully in international markets can generate higher levels of profit

Reasons for entering international markets

1. Economies of scale

- By operating on a larger, international scale, a business can lower its unit costs through bulk buying, more efficient production and spreading fixed costs across a higher output

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Help me understand

- For example, **IKEA** expanded into countries beyond Sweden to reduce production and distribution costs, sourcing and manufacturing in bulk for a global customer base

2. Brand recognition

- Expanding internationally can increase the visibility of a business's brand, including its name, logo, and packaging
- This is especially important for businesses that use the same branding and sell the same products globally
- Greater brand awareness can lead to **stronger customer loyalty** and more repeat purchases
  - For example, **Apple** uses consistent branding worldwide, which has helped it build a loyal global customer base and a premium image

3. Spreading risk

- Entering overseas markets reduces a business's dependence on just one country
- This makes the business less vulnerable to **economic or political problems** in its domestic market and allows it to spread its risks
  - For example, **McDonalds** operates in over 100 countries, which helps protect it if sales drop in one region due to economic issues or changing consumer trends

4. Increased sales revenue

- Selling in international markets allows a business to reach more customers and increase total revenue
- It can also help the business benefit from **distribution economies of scale**, such as cheaper transport costs per unit when selling larger quantities globally
  - For example, **Amazon** entered markets like India and Brazil to access large customer bases and grow its overall revenue

5. Extending the product life cycle

- When demand for a product begins to fall in the domestic market due to saturation or changing trends, selling it in overseas markets can **extend its life cycle**
- This can reduce the need for immediate investment in new product development
  - For example, **Coca-Cola** continues to sell mature soft drink flavours in emerging markets even after demand has declined in some developed countries

Examiner Tips and Tricks

Avoid assuming all products can be sold the same way abroad – examiners credit answers that recognise the need to **adapt**

Disadvantages of entering new markets overseas

- Businesses also face several challenges when entering a new country
- These problems can lead to high costs, legal issues or failure to attract local customers if not managed carefully

1. Cultural differences

- Different countries often have unique customs, values, languages and expectations
- If a business does not understand these differences, its marketing or products may offend customers or simply fail to appeal
  - Advertising that works in one country may be seen as inappropriate in another
  - Words, symbols or images used in one country might carry completely different or even offensive meanings in another
  - Product flavours, features or aesthetics that are popular in one country may not appeal to consumers in another
- Businesses must adapt their products and messages to fit the local culture to avoid misunderstandings and lost sales.

2. Lack of local knowledge

- Businesses entering a new market may not fully understand the local competition, customer needs or buying habits
  - This can lead to poor decisions about pricing, promotion or product design
- Without local knowledge, a business might choose the wrong location or struggle to connect with the right target market
- Partnering with local firms or conducting thorough market research can help reduce this risk

3. Legal requirements

- Each country has its own laws and regulations that businesses must follow
- These may include rules about advertising, product safety, employment and taxes
- Failing to follow local laws can lead to fines, legal action, or being excluded from the market
  - For example, food products may need specific labels, or online platforms may have to follow data protection laws
- Businesses must study legal requirements carefully before entering a new country.

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